

Shifting Jurisdictional Boundaries: Private Equity and the Professional Ecology of Accounting

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ABSTRACT

Private equity (PE) investment in accounting is expanding rapidly, yet its implications for the profession's jurisdiction remain unclear. Drawing on 20 interviews with transaction advisors (M&A attorneys, M&A consultants, and investment bankers) involved in PE deals with accounting firms, we use Abbott's System of Professions to analyze how PE disrupts the ecology of accounting, shifting and reshaping the profession's jurisdictional boundaries. First, we show how PE exploits pre-existing vulnerabilities: professional rigidities and partnership model limitations, technology gaps, and talent shortages, to enter the profession's jurisdiction. Second, we examine alternative practice structures as a hybrid legal-workplace settlement that preserve CPAs' formal authority over audit opinions while ceding economic and organizational control to PE. Third, we document the advance of a commercial logic that reorients leadership, compensation, technology, and offshoring decisions, potentially subordinating professional judgment to profitability metrics. Finally, we develop a typology of advisory, divided, and soft subordination settlements and show ecology-level consequences, including the marginalization of audit, restructuring of the public-company audit market, and cultural shifts that may erode the accounting profession's jurisdiction.

Keywords: private equity, accounting firms, system of professions, professional jurisdictions

1. INTRODUCTION

Private equity (PE) firms have been acquiring significant ownership interests in accounting firms over the past couple of years (Kenney 2023; Vidal and Gupta 2024) including Grant Thornton and Baker Tilly in 2024, and projections suggest the largest 200 accounting firms may follow (Kravitz 2024). PE investors view public accounting as a low-risk, recurring-revenue, "recession proof" business, and see firms as undervalued assets that can be scaled or repositioned (Koltin 2024; Infinity Globus 2024; Rowe 2025). Because PE owners can exercise influence over resource allocation, strategy, and growth decisions, their entry may transform the professional ecology of accounting. We examine whether and how PE firm investment in accounting firms disrupts and reshapes jurisdictional boundaries in the accounting profession.

Prior work has examined how accountants have defended or yielded jurisdictional claims (Sikka and Willmott 1995; Power 1997; Shafer and Gendron 2005; Griffith 2020) and research

also documents how professional values differ across organizational forms (Suddaby, Gendron, and Lam 2009). Other literature has examined the drivers of professionalism and commercialism in accounting (e.g., Alberti et al. 2020; Andiola et al. 2020), the role of autonomy in ethical judgments (e.g., Seifert et al. 2022), and how leadership shapes strategy and audit quality (Mowchan 2023). We expand on this literature by examining a setting in which an external capital provider, rather than a neighboring profession, can reorganize the profession's work and jurisdictional boundaries.

We interview 20 highly experienced transaction advisors (M&A attorneys, M&A consultants, and investment bankers) involved in PE deals with accounting firms. Advisors involved in such transactions are relatively few. Our sample therefore provides comprehensive, field-level perspectives of experts who design and negotiate multiple deals across different PE and accounting firms, interpret regulatory constraints, and have deep insight into the incentives and concerns of both sides. As external advisors rather than parties to the transaction, they are positioned to provide a relatively independent view on PE's effects on the profession.

We use Abbott's System of Professions (1988) as our theoretical framework to analyze how jurisdictional boundaries are contested, defended, and redrawn with PE's entry. Abbott views professions as part of an interdependent ecology where jurisdictions are continually reshaped by new tasks, technologies, and organizational forms. We adapt this framework to examine how PE-backed alternative practice structures (APS) redistribute control over audit work across the legal, workplace, and public arenas, and study their system-wide effects.

Guided by theory, we identify several themes. First, we show how pre-existing vulnerabilities – professional rigidities and governance limitations of the partnership model, technology gaps augmented by capital constraints, and talent shortages amplified by internal

structural problems – create opportunities for PE entry. Second, we document how transaction advisors design APS to enable PE investment in a manner technically consistent with independence requirements, while administrative services agreements (ASA) allow CPAs to retain formal authority over audit opinions but concentrate economic control in the PE-backed, non-attest entity. Third, we show how PE deploys “treatment expansion” strategies (by suggesting their solutions are superior), bringing financial and intellectual capital, creating an “arms race” among firms, and reshaping career and compensation systems in ways that benefit current partners but increase uncertainty for younger professionals. Fourth, we document how PE promotes a commercial logic – via non-CPA leadership, offshoring, technology-driven standardization, and performance metrics – that can subordinate professional judgment to profitability.

Finally, we find that PE investment tends to push auditing toward a subordinate, residual position within multi-service platforms. Audit is retained for legitimacy and branding but marginalized as a low-status, low-profit obligation, while resources and career opportunities shift to tax and advisory. This dynamic may weaken both audit quality and the profession’s jurisdictional claims, as PE-backed firms strategically reduce public company portfolios and complex clients migrate to less-resourced, non-PE firms. Although PE promises to preserve firm culture, our interviews suggest it engineers cultural change through shifts in what is measured and rewarded, gradually infusing commercial logic into the core of professional practice.

We contribute to the emerging literature on PE investment in accounting by theorizing how PE reconfigures the accounting profession’s jurisdictional settlements across Abbott’s legal, workplace, and public arenas. In doing so, we respond to Nelson’s (2025) call to examine organizational changes in accounting firms driven by PE investment. Our study complements

contemporaneous studies that analyze the perspectives of partners inside PE-backed firms (e.g., Donahoo, Nielson, and Pickerd 2025) and provide a primer on the phenomenon using archival data and multi-stakeholder interviews (e.g., Mao, Minutti-Meza, Ou, and Zimmerman 2025). We add to this emerging literature by focusing on transaction advisors who design and structure APS arrangements and by adapting Abbott’s framework to develop an applied typology of advisory, divided, and soft subordination settlements in PE-backed APS structures, along with a three-tier audit market ecology, to show how PE alters the profession’s jurisdictional claims and boundaries.

More broadly, we extend research on organizational form and professional values (e.g., Gendron 2002; Suddaby, Gendron, and Lam 2009) and on jurisdictional competition (e.g., Griffith 2020; Sikka and Willmott 1995). Whereas prior studies typically examine challengers within the professional field or adjacent professions, we analyze a setting in which the external organizational investor has both the incentive and capacity to reshape the profession’s jurisdiction. Our findings are of interest to regulators and standard-setters who have begun to debate the profession-wide implications of PE investment (e.g., PCAOB 2024, AICPA 2025). Finally, we contribute to theory by showing how a highly specialized and enclosed profession responds to jurisdictional challenges when the remedies it seeks – external capital and hybrid organizational forms – can themselves erode its jurisdiction and reconfigure the ecology of audit.

2. BACKGROUND AND THEORY

APS Setting

The provision of audit and attest services is the traditional jurisdiction of accounting firms. Passive PE investment in accounting firms is precluded due to state laws that require CPA firms to be majority owned by CPAs and all owners to be actively engaged in the business. There

are no such restrictions on the ownership of entities that provide non-attest services (e.g., tax, consulting) so PE investors may own noncontrolling or controlling interests in such entities.

During the 1990s, the APS was created to allow non-CPA ownership of accounting firms (AICPA 2025). Under an APS, an accounting firm is split into two separate legal entities: a licensed CPA firm partnership to perform audit and attest services (the attest entity) and an unlicensed entity (e.g., partnership, limited liability company, corporation) to perform tax and consulting services (the non-attest entity). PE investors take an equity interest in the non-attest entity while the attest entity is 100 percent owned by licensed CPA partners. In a typical APS, the non-attest entity owns all of the infrastructure and employs all of the professionals, including the audit partners.

The two entities in an APS enter into an ASA under which the non-attest entity performs administrative functions on behalf of the attest entity. The non-attest entity also leases employees and equipment to the attest entity as necessary to perform audit and attest work under the direction and supervision of the attest entity partners. The attest partners retain decision making authority with respect to the scope of the audit, procedures performed, conclusions reached, and reports (opinions) issued. This hybrid structure allocates formal legal jurisdiction over audit to CPAs while reallocating much of the workplace control and economic value, making it a suitable setting to apply Abbott's concepts of arenas and settlements.

PE Background Literature

Accounting firms are commonly formed as partnerships that prioritize independence. With the introduction of PE investment, PE firms influence the operating, financing, and financial reporting of accounting firms, sometimes through PE firm members sitting on the boards of acquired companies (e.g., Lerner 1995; Zimmerman 2016). Research in other settings

indicates that PE investment can be beneficial or detrimental. For example, PE investment has been associated with poorer healthcare quality in the medical and nursing fields (Unruh and Rice 2025) but increased sales and growth in the consumer products industry by easing financial constraints and providing expertise to launch new products and expand geographically (Fracassi, Previtro, and Sheen 2022).

The literature on PE in other professions often portrays PE as importing financial logics into non-financial settings. Brown and Hall (2023) and Ma et al. (2024) show that PE's financialization of healthcare conflicts with physicians' obligations to deliver quality care, as PE firms prioritize short-term profits. Similarly, Jourdan, Durand, and Thornton (2017) identify a disconnect between the professional values of filmmaking and PE: PE firms prioritizing financial returns were rejected by film producers, while those respecting filmmaking's professional identity and values gained acceptance but achieved lower profitability. Unlike these settings, we examine a field built on financial expertise where commercialism concerns exist alongside a professionalism logic. Thus, on the surface the professional identity and values of accounting firms may appear more aligned with those of PE firms.

Concurrent work in accounting examines the impact of PE investment on accounting firms. Doan, Utke, Zhou, and Zou (2025) use archival data to show that PE acquisitions are associated with revenue growth in non-audit services relative to audit, changes in talent (often via acquisitions rather than hiring), and expansion into new markets, characterizing PE investment as beneficial to firms. Donahoo et al. (2025) study partners' views inside PE-backed firms and find that PE is treated as part of the firm, with both positive (e.g., increased capital) and negative (e.g., cultural integration) consequences. Mao et al. (2025) examine multiple stakeholders' perspectives, identifying changes in firms' talent composition and providing a

descriptive and comprehensive overview of the overall process. In contrast, we focus on system-wide impacts for the profession by examining transaction advisors who structure hybrid APS/ASA arrangements that redistribute jurisdictional control and reorganize professional boundaries, a perspective absent from concurrent PE–accounting work.

Theory – System of Professions

We use Abbott’s (1988) System of Professions as our theoretical lens. Abbott argues that professions are not fixed entities with determined roles but an interdependent system that evolves through interaction and competition. Professions compete for jurisdiction – the right to “own” certain kinds of problems (diagnosis) and their solutions (treatment) – and exist in a dynamic ecosystem where changes in one profession affect others. In our setting, PE’s investment in accounting firms may generate ripple effects throughout the audit profession, reshaping its jurisdictional landscape. To the extent that PE firms prioritize consulting and tax over audit, some PE-backed firms may exit certain segments of the audit market, leaving fewer providers.

Professional jurisdictions, including the organizational structures through which work is carried out, are defined by abstract knowledge (Abbott, 1988). Professions require abstract (conceptual) knowledge to perform tasks and make jurisdictional claims. Jurisdictions must be maintained and defended against vulnerabilities arising from internal sources (e.g., knowledge degradation through routinization or overexpansion beyond core expertise), external sources (e.g., new technologies), or structural factors (e.g., blurred boundaries between professions that invite jurisdictional disputes). External forces dismantle existing jurisdictions or foster new ones.

Professions maintain jurisdiction by governing the logic of their work which comprises three linked activities: diagnosis (identifying and classifying problems), inference (reasoning from diagnosis to potential solutions), and treatment (implementing solutions). Control over this

chain for a given set of problems is the basis of a profession's jurisdiction, and professions compete for actual control over daily tasks in the workplace arena, public acknowledgment of their authority in the public arena, and formal legal protection of their domain rights in the legal arena (Abbott 1988).

Jurisdictional conflicts are resolved through various settlements (Abbott 1988). Full settlement grants complete dominance over a task (e.g., public accountants' jurisdiction over issuing audit opinions). Subordination settlement establishes hierarchical authority where one profession dominates and others work under its authority (e.g., valuation specialists provide valuations that auditors approve and integrate; Griffith 2020). Divided settlement splits tasks so that each profession handles part of a broader problem (e.g., auditors verify financial statements while analysts interpret them for the public). Advisory settlement provides consulting authority without operational control (e.g., management consultants and tax advisors provide advice on strategy and compliance, but management has the ultimate decision authority). Client differentiation settlement assigns different client segments to different professions or organizations (e.g., small firms serving private companies and large firms serving Fortune 500 companies).

Building on Abbott's taxonomy of jurisdictional settlements, we conceptualize how PE reshapes audit jurisdiction across the legal, workplace, and public arenas. PE's entry does not immediately abolish CPAs' traditional 'full settlement' (Abbott 1988) over diagnosis, inference, and treatment in public company audits but may gradually reconfigure it. We adapt Abbott's settlements for our analysis of how PE-backed APS structures redistribute control over audit tasks, how different settlements are sustained or contested, and how this generates system-level consequences for the professional ecology of accounting.

Extant accounting research applies Abbott in various contexts, examining both the development of the profession and inter- and intra-professional conflicts. Historical studies trace the profession's formation, including Walker's (2004) analysis of England's first accounting organizations and Edwards et al.'s (2007) longitudinal test of Abbott's theory using 19th-century English public accounting. Other studies examine how professions defend their jurisdictions: Sikka and Willmott (1995) analyze how UK accountants cultivated an image of independence to deflect challenges from journalists and politicians, while Covalleski et al. (2003) examine disputes among the AICPA, Big 5 firms, the IIA, and the SEC over internal audit services. Arena and Jeppesen (2010) explore conflicts between external and internal auditors in Denmark, where external auditors attempted to restrict internal auditors' professional status.

Additional work shows that regulatory changes can trigger jurisdictional conflicts, as Evans and Honold (2007) document after Germany adopted European auditing directives in the 1980s. Other studies indicate that jurisdictional claims do not always succeed – Shafer and Gendron (2005) examine the accounting profession's failed attempt to establish a new credential. Within audit firms, Griffith (2020) shows that regulatory encouragement to use specialists led auditors to share rather than compete for jurisdiction with valuation experts. Importantly, these studies examine settings in which the challengers were predominantly within or adjacent to the profession and did not seek to occupy the profession's jurisdiction. In contrast, we examine a setting where an external actor – PE – has both the incentive and the capacity to reshape the jurisdictional boundaries of the accounting profession. Thus, our study examines qualitatively different threats and organizational responses. Accordingly, we use Abbott's theory to analyze whether and how PE investment in accounting firms disrupts and reshapes the jurisdictional boundaries of the accounting profession.

3. RESEARCH METHOD

We use a semi-structured interview approach to examine how PE investment reshapes the jurisdiction and ecology of public accounting, a nascent area with limited contextual knowledge.¹ This approach is well suited to eliciting rich, field-level accounts from expert informants and to allowing unanticipated themes to emerge (e.g., Hirst and Koonce 1996; Power and Gendron 2015; Malsch and Salterio 2016).

Interviewees

We interviewed 20 transaction advisors with experience in PE investment in accounting firms: nine mergers and acquisitions attorneys, six mergers and acquisitions consultants, and five investment bankers.² We recruited individuals in these roles for several reasons: (1) they can provide relatively independent perspectives on the PE-accounting space, (2) they have worked on multiple deals across different PE and accounting firms, offering comparative, field-level views, (3) they play central roles in designing APS/ASA structures and the legal and organizational jurisdictional boundaries through designing the APS/ASA structures, and (4) they interpret regulatory constraints in a manner that is different from accounting firm partners.

We recruited participants through email using personal contacts and conference connections, and expanded the sample using a “snowball” approach (Miles, Huberman, and Saldana 2014; Malsch & Salterio 2016). Interviewees had an average of 26 years of experience. Table 1 provides demographic information. All interviews were conducted via Zoom in 2024 and 2025. Two researchers conducted the interviews, which ranged from 30 to 81 minutes with an

¹ All authors obtained Institutional Review Board approval for this study.

² Overall, a relatively small number of attorneys, consultants, and investment bankers are involved in these deals, thus limiting our sample size. Particularly with respect to M&A attorneys specializing in the PE investments in accounting, the use of the snowball technique often led to the same potential participant names coming up. This further gave us confidence in the adequacy of our sample. Our participants are in a position to provide a relatively objective perspective as compared to transaction participants, i.e., PE investors and accounting firm partners.

average of 52 minutes. At the outset of each interview, we established rapport, explained our research objectives, and assured participants of anonymity. Interviews were audio-recorded when participants consented, and we had the interviews professionally transcribed. The research team checked all transcripts against the audio files for accuracy. We continuously assessed saturation during data collection and concluded that it was achieved after 12 interviews, when several successive interviews failed to generate new substantive themes or atypical observations (Morse 1995; Power and Gendron 2015; Malsch and Salterio 2016; Kenno et al. 2017). We conducted the remaining interviews to confirm this assessment and to ensure coverage across advisor types.

Interview Questions

We developed our interview questions based on informal discussions with transaction advisors involved in PE deals (who were not part of our interview sample), attendance at a PE conference, and examining the literature on PE investment in other fields. Guided by prior recommendations for qualitative research, we designed open-ended, neutral questions that allowed for probing and follow-up (Hirst and Koonce 1996; Cohen et al. 2010; Malsch and Salterio 2016). We updated the interview questions iteratively throughout data collection (Hirst and Koonce 1996; Westermann et al. 2015). The protocol included five broad core questions, and we followed up as necessary to expand our understanding and pursue new themes raised by interviewees.³ Interviewees' accounts reflect their own understandings of PE-accounting transactions and regulatory constraints, which may diverge from formal regulatory guidance or firms' official policies.

³ We asked interviewees to reflect on their experiences in answering the following (final) broad questions: (1) How will PE change, or is already changing, public accounting firms, and what are the positive and negative aspects of this change; (2) What are public accounting firms' expectations, and will they be fulfilled? Will there be any surprises for them down the road, and if so, what are these likely to be? (3) What are PE firms' expectations, and will they be fulfilled? Will there be any surprises for them down the road, and if so, what will these be? (4) From your perspective, how does the future look, and what will be the most interesting developments in this area? (5) What have we not thought to ask you so far, but it is important to understanding the future of the field?

Data Analysis

We began analysis by reading all transcripts in full and developing an initial coding scheme based on common themes emerging from the interviews. We used NVivo qualitative data analysis software to organize the data, apply codes, and identify relevant quotes. Consistent with recommendations for iterative, theory-informed coding (Kenno et al. 2017; Miles et al. 2014), we revisited the transcripts multiple times, refining our codes and grouping them into higher-order categories. During this process, we actively looked for minority views and deviant cases that challenged emerging patterns, and we report these in Section 4 (Malsch and Salterio 2016). The author team discussed the coding structure and interpretations in multiple rounds and reached agreement that the illustrative quotes included in the paper accurately represent the themes that emerged and the range of perspectives in the data. In analyzing the data, we also considered whether themes differed systematically across advisor types (M&A attorneys, M&A consultants, and investment bankers) and did not observe systematic differences; accordingly, we present the findings at the level of transaction advisors as a group.

4. INTERVIEW FINDINGS AND IMPLICATIONS

Abbott's (1988) System of Professions emphasizes that professional jurisdictions are never secure: professions face threats not just from direct competition but also from technological and organizational changes that reshape their work. Changes in technology and organizational forms are "the central destroyers of professional work" (Abbott 1988, 92). Both "destroyers" are evident in our interviews. First, technology gaps due to the need for capital to modernize systems are cited as a primary reason for firms' seeking PE investment. Second, PE-financed APS represent a major organizational change for auditing and related services. Both lead to a period in which existing jurisdictions are likely to be disrupted.

4.1 Sources of Internal and External Disturbances and Jurisdictional Vulnerability

Our interviews indicate that external disturbances (technology, labor market shifts, and PE entry) interact with internal sources to heighten jurisdictional vulnerability of accounting firms. Three internal sources that PE firms can exploit include: governance rigidities rooted in the partnership model, technology and systems gaps that both create and commoditize tasks, and talent shortages.

4.1.1 Rigidity in partnership model governance structures as a jurisdictional vulnerability

Abbott notes that professions often rely on rigid governance structures to secure jurisdiction. These devices can protect work but make professions slow to adapt. Our interviewees identify governance failures in the partnership model as a key vulnerability. Specifically, accounting firms' governance structures fail to align technical excellence with business leadership and organizational problem-solving. An interviewee explains bluntly:

The worst thing about a CPA firm is it's run by a CPA. The reality is, the way in which they select leaders is slightly more than kind of a glorified popularity contest. The folks that were really good at the job end up getting selected [to run] the business – but what leads to good managerial competence is not the ability to do accounting work... They've been selecting with the wrong framing in mind, and [need] evolution of the caliber of the leadership team to rethink delivery models and create more commercial excellence. (P7)

Interviewees express concerns with weak performance accountability. Firm leaders are seen as reluctant to penalize underperforming partners: “when you're a partner, you're like, ‘well, I don't want to fire him... just pay him a little bit less’ – even though he's taking up a space that he shouldn't be” (P10). Another interviewee noted, “you can miss your targets, have a bad year, and you still get paid what you were expecting” (P7). Interviewees highlight how this “country club mentality... creates more opportunity for the PE firms” (P15).

4.1.2 Technology gaps and failure to claim new tasks as a jurisdictional vulnerability

As professions compete for the right to claim domain expertise over problems and their

solutions, “the tasks, the professions, and the links between them change continually” (Abbott 1988, 35), and technology both creates and destroys professional tasks (Abbott 1988; Maksymov 2025). Our interviews suggest that the public accounting profession is facing a dual crisis. On the one hand, technology creates new tasks and jurisdictional opportunities (e.g., automated compliance, data analytics, cybersecurity, AI assurance) that traditional accountants may fail to claim. Simultaneously, technology threatens to commoditize existing accounting tasks, enabling PE firms to claim jurisdiction through capital infusion and automation.

Interviewees explain how the partnership model’s compensation and retirement structures create cash flow problems, as funds are tied up in retirement obligations, and tax structures constrain reinvestment. An interviewee highlighted, “technology costs are crazy, and the only source is partners’ capital” (P5). Another interviewee explains how this creates a profession-wide deficit: “Because these are partnerships where literally the partners are taking all the free cash flows, there was never an ecosystem of software providers ... [now] PE-backed CPA firms will become buyers of traditional SaaS software to make their businesses run more efficiently” (P16).

Abbott notes that knowledge abstraction is the foundation of professional jurisdiction, but technology can embed such knowledge in standardized tools, lifting parts of inference out of the profession and converting them into automated routines. He describes AI as “the ultimate abstraction, reducing all professional inference to one form and all jurisdictions to a single unit” (Abbott 1988, 102). Abbott’s framework suggests that PE firms can exploit this opening as, when professions fail to claim new tasks created by technology, other actors move in. Interviewees describe PE firms as acutely aware of these jurisdictional vulnerabilities.

4.1.3 Talent shortage as a jurisdictional vulnerability

Abbott notes that professions often rely on rigid training, licensing, and career ladders to

secure jurisdiction. The accounting profession faces a talent shortage. Our interviews reveal this is a hybrid disturbance where external labor market and generational characteristics interact with internal features of the profession's "enclosure" (Abbott 1988) such as education and career structures, to increase vulnerability. Respondents note pipeline problems and intensified competition from adjacent professions:

[Young people] ... just want to get the highest paying job at the moment... When I was coming out of undergrad as an accounting major and I interviewed for jobs, we were cool, we were at the top ... Now you have these other professions that didn't really exist, like technology oriented things – they are making a lot more money. (P10).

Interviewees emphasize that internal professional structures amplify these problems. They see the 150-credit hour CPA requirement as "overly burdensome" (P10), and explain that the traditional compensation model frustrates younger professionals: "I made partner, what does that mean? Where's my equity?" (P12). Interviewees interpret partnership bottlenecks to mean accountants' advancement often depends on factors "completely outside of their control" (P4).

Abbott (1988) shows that when the expected career progression no longer matches economic realities or generational expectations, the profession's ability to reproduce itself is weakened. Interviewees explain that younger professionals resist the traditional progression: "they don't want to buy the firm from their older partners...they don't want the responsibility... they'd rather someone else come in and do it" (P10). Respondents describe how PE firms position themselves to exploit this disturbance: "young professionals are looking for opportunity, and outside investor groups are transforming the way that a lot of [accounting] firms operate" (P14).

Together, the accounting profession's vulnerabilities of career and education rigidity, partnership governance rigidity, technology deficits, and talent shortages interact with external shocks to expose its jurisdiction to actors who can use capital, technology, and organizational

discipline to claim and reconfigure its tasks.

4.2 APS as a Structural Threat to Jurisdiction

Abbott (1988) indicates changes in structural features or organizations are another major source for jurisdictional disruption (Abbott 1988, 93). The APS organizational arrangement aims to facilitate corporate control while legally preserving the audit jurisdiction (NASBA 2025; AICPA 2025). We next examine interviewees' perspectives on how the APS structures PE influence and its potential effects on audit independence. Interviewees discuss how legal barriers prevent direct majority PE ownership, and explain that at least 51 percent of the owners of a licensed accounting firm must be CPAs and the rest can be owned by non-CPAs provided that those owners are actively involved in the business. To work around this, the APS separates the CPA-owned attest entity from a PE-backed non-attest entity, the "growth platform". As an interviewee explains, a central question for PE is "How am I going to extract from the attest practice – which I don't really have any ownership interest in – how do I extract the value of that?" (P1).

We interpret the APS by applying the System of Profession's legal, public, and workplace arenas. In the legal arena, CPAs retain formal domain rights over audit opinions and attest work. In the public arena, clients and regulators are reassured by the visible separation between entities, sustaining the appearance of independence. However, in the workplace arena, the PE-backed non-attest entity controls most of the day-to-day operations, and the ASA is the key mechanism. It transfers employees, intellectual property, leases, and back-office functions to the non-attest platform, which then leases them back to the attest entity for a fee—typically 85-95% of attest revenues. In practice, the non-attest entity loans the attest practice money to remain cash neutral. An interviewee expressed concern about this arrangement:

I'm not a big fan of the percentage... I always try to push a lot of flexibility... to make sure that the attest practice is not stripped of all its resources... Everybody's been concerned about the SEC and the PCAOB and auditor independence issues associated with these things... I think the greater concern is in the state regulatory environment and their interest in, is the audit practice is independent and what does the ASA and the other agreements really look like that makes us comfortable that the accountants are in charge of the public accounting services? (P1)

Control over audit diagnosis (problem identification), inference, and treatment (solution identification) ostensibly remains with firm partners, whereas operations, scale and investment are routed to the non-attest structure. The APS thus claims to preserve audit partner autonomy where independence is most visible – in audit-specific decisions – while strategic and commercial decisions about the types of clients to pursue and retain are controlled by the non-attest entity. Therefore, while legal jurisdiction over the audit is preserved, tasks are partially redistributed and some of the audit partners' workplace discretion is reallocated.

To reduce the risk of undue influence by non-CPAs or outside investors on the attest function, the APS builds “firewalls” between the attest and non-attest parts of the structure. To circumvent state prohibitions on percentage-based fees, distributions to partners from the attest entity reduce their salaries from the non-attest entity. A respondent explains that “if [the audit partners] get money out of the attest firm, that's a credit against the compensation they get from [the non-attest entity]. So, it's a closed system” (P8). Interviewees further note that deals are carefully structured to avoid triggering the SEC's brightline “up and over” rules (Hussey 2020): “the SEC has taken the position that if you don't control the non-attest firm – the PE firm does not control it, it owns 49% of it – you do not need to go ‘up and over’ except in certain circumstances” (P8). However, others are skeptical about this:

If you have a situation in which you (the PE firm) are really trying to kind of take a majority, but you don't want to take a majority, so you team up with a friendly PE firm and give them maybe a 5% piece to get you guys collectively over the hump. Does that have a negative consequence? I mean, the way I look at it, it's a majority. One way or the other, you're now a

majority owned by someone else, other than the partners, right? (P17)

The APS/ASA arrangement thus operates as a mechanism of jurisdictional control. Accounting partners retain formal control over audit diagnosis and inference (legal arena) and the appearance of independence (public arena). But the APS concentrates strategic decision making and economic control in the PE-backed entity (workplace arena), which extracts most of the surplus. As a result, although accounting firm partners preserve formal jurisdiction over diagnosis, inference, and treatment, the conditions of treatment, and much of the economic value, are controlled by those outside of the profession.

4.3 Mechanisms of PE's Jurisdictional Invasion

Abbott discusses various mechanisms for jurisdictional invasion. We focus on treatment expansion, exploiting self-interests, and shifting accounting firms' focus from professional judgment to a commercial logic. We analyze how these mechanisms set the stage for shifting settlement types of PE-backed firms.

4.3.1 Jurisdictional invasion through treatment expansion

Treatment expansion is one strategy professions use to defend or extend their jurisdictions, by claiming their solutions work better than other professions' for already diagnosed problems. PE firms use this strategy to claim jurisdiction in public accounting: they accept accounting firms' diagnoses but claim superior solutions. Abbott (1988) notes that when a dominant profession leaves parts of its work poorly organized or underserved, "paraprofessionals" move in, initially under its shadow but eventually claiming formal jurisdiction and urging reform. Our interviews suggest an organizational variant of this pattern. PE firms are not a neighboring profession in the usual sense, but they enter the profession as powerful paraprofessional actors: multiprofessional investment organizations that bring their

own abstract knowledge, control over capital, and templates for restructuring firms.

Interviewees repeatedly emphasize that PE brings both financial and intellectual capital:

Unprecedented amounts of capital are flowing into the industry, and it's two types... One is fiscal, financial capital. The other is intellectual capital. Private equity firms hire the biggest and brightest minds [...]they've seen a lot of industries, and they have the ability to recognize patterns across the industries and support these businesses to evolve and transform. (P7)

This represents treatment expansion where PE claims superior treatment by higher order abstract knowledge and “pattern recognition” across industries. Part of this involves reshaping firm leadership: “by having external capital come in, it opens your eyes to outside talent that might be better at doing something than the current stable of existing partners ... so, you do get a decent amount of outside expertise” (P11). While PE’s treatment expansion can help the accounting profession modernize, it can lead to the further transfer of workplace jurisdiction where PE becomes an active participant in professional decisions.

Interviewees describe how this treatment expansion creates a stratified system where firms feel pressured to obtain PE investment and fear being at a disadvantage if they do not: “do you want to pick who your dance partner is or be up against the wall and see who comes by, be the last person standing at the dance floor?” (P5). Another interviewee explains:

There will be a bit of an arms race, and there will be the haves and have-nots. The firms that have the capital available to invest in infrastructure, evolution, new technologies, and low cost country delivery models... will have a cost advantage, a margin advantage, and more capital and be able to reinvest in the business... Long-term, for industries that are disrupted by private equity, there's an evolution over time where the earliest end up doing the best. (P7)

PE’s redrawing of the profession’s ecology by changing competitive conditions is consistent with Abbott’s analysis of how corporate actors reshape professional work: efficiency and scale are used to seize the administrative part of jurisdictions, leaving professionals with a narrower “residual.” The ‘arms race’ narrative also echoes Abbott’s emphasis on how early movers shape the possibilities for those who follow. An interviewee elaborated:

If you are the flagship or platform acquisition... you're going to get a very different type of transaction... If you're a tuck-in, you're going to have less say ...We've seen some firms who've resisted this far seeking a transaction... and they're struggling now to find it because they might've waited a little bit too long. (P14)

Scale is central to PE's strategy. Interviewees discuss how PE expedites consolidation by buying firms at lower multiples, driving growth, and selling at higher multiples on a five- or seven-year timeline. In Abbott's terms, this is treatment expansion through organizational scale rather than professional knowledge, and what is being abstracted is the business model of the professional firm.

Through an Abbott lens, the result is professional stratification, where PE-backed firms are creating a three-tier system: the Big Four serving large public companies, PE-backed platforms consolidating the middle market, and struggling independent firms serving whatever remains. This reconfiguration is forced largely by outside investors rather than by the profession itself. Traditional bases of jurisdictional claims, such as technical expertise and professional knowledge, may thus become insufficient to defend the profession's jurisdiction. Treatment expansion provides one of the mechanisms through which PE can move the profession from a full settlement to a limited advisory settlement, where PE offers capital and advice around an existing jurisdiction, trending toward a settlement where PE takes a more dominant role in the profession.

4.3.2 Jurisdictional invasion through exploiting self-interests

Abbott treats professions as collective projects requiring successive generations to invest in training, reproduce abstract knowledge, and accept deferred rewards. Our interviews reveal that PE alters this career system, advantaging current leaders while increasing uncertainty for younger professionals. Respondents describe how PE appeals to senior partners' self-interest. Deals offer immediate liquidity and eliminate mandatory retirement: "The CPA firm partners,

they see dollar signs in front of them... they're very happy to sell their firms, make a boatload of money... and get rid of liabilities" (P1).

PE fundamentally changes the compensation systems of accounting firms. In the profession's traditional structure, partners collectively control the organization of work, income, and career progression. PE deals reconfigure this workplace settlement in three linked changes: partners' profits become equity value; cash is deployed to "investing in technology, investing in some offshore resources, doing some acquisitions" (P16); and pay becomes tied to production and equity outcomes. This includes repeated "bites at the apple" where "partners are going to get liquidity, and then they're going continue to invest, and then they're hoping three-five years from now they'll get more liquidity" (P13).

Interviewees note that this creates generational disparity, as current senior partners can exit on favorable terms, but younger professionals face greater uncertainty. An interviewee discusses:

You just graduated college... and by the time you become a partner, the word partner may just exist in name. You might get a little bit of equity. You'll be like a managing director at an investment bank ... I'm not an owner. I don't have that true equity ownership. It's that sort of cohort, it's those folks who are going to, I don't want to say lose out, but those are the folks who won't get to do that. It's the partners today who are partners today and are going to sell the new partners, the ten-year partners—they're all going to make a lot of money. (P16)

We note a minority theme, where some interviewees emphasize the promise of PE firms offering equity to junior professionals. However, others focus on the risk inherent in shifting cash compensation to equity in new PE deals. An interviewee describes that the earlier partners become part of deals, the more they benefit, so the younger partners are more exposed:

The early deals sold for a multiple of earnings. Well, the deals are much more expensive now because of supply and demand... So, the PE firms aren't going to be as successful because they're just going to make normal profits now... The real question is how the younger partners are going to fare... they're going to get equity, heavier percentage of equity than cash; they might get no cash. And the equity, well, it's going to depend on how the firm does. (P10)

Interviewees discuss how PE uses equity to recruit younger talent. The equity model

eliminates traditional capital buy-ins: “Now they get equity in the firm—does that entice them to help grow the firm? You bet it will. Will it keep them around? It sure will” (P5). A respondent explains that for lateral hires, “the private equity angle probably is an easier sell... versus the traditional partnership model” (P11). At the same time, interviewees note that limits exist: “We don’t know what happens if the flips stop, if you can’t do that any longer... There’s only so much value to squeeze out of an organization. It’s hard to imagine continuing to increase three-five times in value every five to seven years indefinitely” (P19).

Some interviewees credit accounting firms with defending jurisdictional boundaries by protecting their human capital and brand in PE negotiations: “I don’t think it was the PE firms that focused on the need to retain people—it was the accounting firms that cared about the firm going forward... they really care about the brand and they care about the firm continuing” (P12).

Overall, the interviews show how PE strategically mobilizes self-interests across generations of accounting professionals to gain entry in the profession. From a theoretical perspective, the changes in the compensation model could help recruit new talent but may hinder the preservation and reproduction of abstract knowledge in younger professionals, thereby threatening the profession’s knowledge continuity. These altered compensation and ownership structures make it attractive for current partners to cede organizational control over key treatment conditions to PE-backed platforms, even as this weakens the profession’s collective ability to defend its jurisdiction over time.

4.3.3 Jurisdictional invasion through replacing professional judgment with commercial logic

Our interviews suggest that PE investment transforms professional work by shifting the dominant guiding principle from professional judgment to commercial efficiency. Interviewees characterize PE as bringing overriding concern for profitability, transforming the operational

decision-making process of accounting firms:

This industry... needs to get professionalized. Outside of the Big Four... the rest of the industry was really smart folks running good businesses, but I'm not sure they were running efficiently like a professional business. That's where PE firms are coming in. (P16)

Professional work combines diagnosis, inference, and treatment grounded in abstract knowledge. Reorganizing accounting firms around margins, KPIs, and scale legitimizes a logic where problems are diagnosed as cost gaps and acceptable treatments are those that improve profitability, not necessarily audit quality. Our interviews show how commercial logic changes division of labor and accountability. PE-backed firms replace administrative functions (HR, marketing, finance) with non-CPA managers whose authority derives from managerial skill instead of professional expertise. Interviewees discuss that this allows firm partners to focus on client work while non-CPAs effectively run the business, consistent with Abbott's observation that professions may cede jurisdiction to managerial experts.

Interviewees further discuss the top-down, corporate model practiced in PE-backed firms: "If you're at or above budget, the private equity firm will leave you alone and just continue to let the register ring. If you're struggling to meet budget, the private equity firm will participate in tough decisions... they'll put people's feet closer to the fire" (P7). PE generally keeps existing management initially, because accounting "is a relationship driven business still... so, there's a delicate line there when we talk about outing or replacing leadership" (P14). However, over time PE influences succession and replaces leaders when growth goals are not met: "When everybody [concluded] that the current leadership team did not have the competence or caliber to enable the growth expectations... that team has been overhauled, they've been replaced... that has sent some ripples on how folks think" (P7).

Interviewees describe two shifts consistent with Abbott's notion of splitting a unified jurisdiction into an abstract core and a routinized periphery that can be transferred to

nonprofessionals: offshoring and technology-enabled streamlining. PE institutionalizes offshoring as a commercial logic lever to expand capacity and margins amid talent shortages. Technology investment also increases: “in the next five, ten years when we have a couple of hundred... PE-backed CPA businesses... we should come out with software products to make these firms more efficient... The PE firm is like, ‘I actually have margin... We need to invest in technologies’” (P16).

Multiple interviewees discuss how the technology investment creates new professional tasks based on AI, automation, and analytics while restructuring and routinizing old tasks. PE provides “tremendous opportunities to cross sell, and then also provide services more efficiently through new technologies... What the private equity firms are really good at is finding strategies to make businesses more efficient” (P7). Interviewees emphasize that PE brings not only capital but a different mindset, a willingness to experiment with technology.

While recognizing that firms may benefit from PE-driven profitability, interviewees express concern over long-term effects, and worry about workforce reductions through efficiency gains (P15) and the loss of personal relationships:

[PE] has the real potential of changing the practice of accounting. It’s going to become not a professional services personal relationship..., it’s going to be just like our healthcare system... it’s impersonalized, it’s a machine. A lot of it is run by artificial intelligence. (P1)

Our interviews suggest PE investment institutionalizes commercial logic where partners “are being measured relative to their peers and a target across dimensions of revenue generation, revenue delivery, originations, utilization of your team and resources, client retention, talent retention, cross-sell uptake” (P7). PE thus redefines accountants’ workplace jurisdiction, potentially subordinating professional judgment to commercial performance metrics. This may bolster firms’ short-term competitiveness, but risks eroding the autonomy and judgment central to the profession’s jurisdictional claims. In Abbott’s settlement typology, the institutionalization

of commercial logic is a mechanism through which APS arrangements can shift the profession's settlement type. We analyze these developing jurisdictional settlements in the next section.

4.4 Jurisdictional Settlements and System-Wide Consequences

The accounting profession has historically operated under conditions approximating a full settlement over public company audits, where CPAs control diagnosis, inference, and treatment, enjoy public recognition of their authority, and hold the legal mandate to sign audit opinions. PE's entry into the profession does not immediately destroy this settlement nor displace public accountants but it gradually reshapes how jurisdiction is exercised across Abbott's three arenas and settled with outside actors. To analyze these changes in public accounting, we apply the System of Professions to develop three post-PE settlement types and map them onto Abbott's three arenas, in Table 2. In an advisory settlement, the PE firm sets goals and KPIs while accountants retain control over diagnosis, inference, and treatment work. In a divided settlement, growth happens in tax and advisory, but firewalls aim to protect audit autonomy. In a 'soft subordination' settlement, accountants nominally control diagnosis and inference, but commercial targets govern resources, client mix, and growth, and treatment is heavily standardized.⁴ Our interviews suggest that PE investment in accounting firms may push the profession further down this continuum – away from advisory and divided settlements and toward soft subordination – by repositioning auditing within the public and workplace arenas.

4.4.1 Marginalization of auditing in the public and workplace arenas

Interviewees emphasize that PE firms plan to retain audit to sustain the firm's legitimacy, but as a branding tool leveraged to expand other service lines. This pattern reflects a drift from a

⁴ Soft subordination is our adaptation of Abbott's (1988) subordination settlement to capture arrangements in which CPAs retain formal legal jurisdiction over audit opinions while PE-backed platforms exert commercial and organizational control over the conditions of audit work.

divided settlement, in which audit and non-attest practices coexist with formal separation, toward soft subordination in the public and workplace arenas, where audit is retained symbolically but governed by commercial priorities:

A lot of [PE] firms have used audit as that's what gives them the brand permission in the marketplace... You take that brand you developed as the trusted advisor in an audit scenario and leverage that trusted advisor brand to grow tax and advisory. So, audit is necessary from that perspective... but [PE-backed firms] aren't necessarily looking to grow their audit practice (P11)

Audit thus remains central to maintaining public jurisdiction, but our interviews suggest PE pushes it into a residual position. Abbott notes that jurisdictions can persist in residual form even as they lose a centrality: the profession continues engaging in its work, increasingly on others' terms. Interviewees describe explicit strategies for minimizing public company auditing: "There is a preference you're seeing: if we're able to get under a hundred registrants for our public audit business, we're going to do that so we don't have annual inspections from the PCAOB – rather have triennial – or let's get out of public audits altogether" (P7). Professional identity is also impacted by this shift, as interviewees note that audit professionals feel sidelined:

When PE comes in, audit and attest specifically feel pretty marginalized... with the independence requirements, tucking audit and attest into their portfolio of God knows what type of businesses is a compliance nightmare... folks who specialize in that world feel pretty dismissed by private equity's interest. [Audit] is usually a fly in the ointment instead of a value add. (P9)

Considering settlements of jurisdiction, the risk increases that a divided settlement (where auditing and non-attest functions coexist with separation) will tilt toward a settlement of soft subordination in our typology, where auditing becomes organizationally dependent on a platform governed by commercial logic, even if legal jurisdiction formally remains with CPAs of the accounting firm.

4.4.2 Potential restructuring of the audit

Professional organizations and regulators frame public accounting as protecting the

public interest through high-quality, independent audits that enable informed investment decisions (Botic 2024; AICPA 2022). An alternative view emphasizes efficiency: the public interest is served when organizations receive high-quality advice at the lowest cost. One of these competing definitions emphasizes expertise and independence, the other efficiency and price. Interviewees are skeptical that PE's efficiency logic will benefit clients or the public rather than investors. They describe how positioning audit as a low-margin obligation and advisory as the profit center can undermine the profession's capacity to maintain audit quality. We observe that redefining audit from a high-abstraction public interest claim to a low-status role weakens both its public arena valuation and the profession's internal commitment to it as a jurisdictional task:

The perception that the audit practice hamstrings the advisory entity, it's not just a perception – that's true... You're losing high margin, high value consulting work at the expense of lower margin audit work... the client knows or perceives that, "well, there's no value to what you're doing, I just need you to do it because the SEC says it"... If the philosophy of audit doesn't evolve, then it's absolutely going to get left in the dust by the other service lines. And... private equity will be at the forefront of that move, because if something is costing money, you'd better believe that private equity are going to chop it or they're going to get rid of it. (P4)

We interpret these developments as a system-level drift toward a soft subordination settlement: audit remains within the profession's formal legal jurisdiction, but its organizational role is narrowed and increasingly structured around platform-level commercial targets.

At the same time, interviewees anticipate that complex public company audits will migrate away from PE-backed platforms and "trickle down" (P7) toward less-resourced firms: "the number of firms doing public company work [will] shrink, so it's going to put the industry in a precarious situation because there won't be a diverse population to serve it" (P5). Another interviewee elaborates:

I'm concerned about the non-PE backed firms that are going to have a bit of a trickle-down effect, a shedding of more sophisticated or challenging clients, how are they going to deal with these potentially complicated accounts? And my concern is – not well. My concern is [PE] will be getting rid of the clients that need some support, and that support will be provided by firms that don't have the capabilities required... so there is a risk to the industry overall in terms of

what is the role of a CPA. [CPAs] keep the plumbing of the industry, of the economy, clean. I'm afraid you'll have some pipes that are super clean... and you're going to get some that are getting gummed up. (P7)

Interviewees' accounts imply a broader reconfiguration of who serves which clients in the public company and large-private markets. Figure 1 summarizes this shift. Panel A depicts a pre-PE ecology in which the Big Four, mid-tier traditional firms, and small local firms are differentiated primarily by client size and complexity. Panel B shows the emerging ecology in which PE-backed platforms consolidate much of the middle market and focus on advisory-driven growth, shedding riskier audit clients; while non-PE independents inherit a mix of smaller public companies and more complex and risky "trickle-down" audits that PE-backed firms elect not to retain. This suggests a new emerging client differentiation settlement, where client segments are reassigned to different parts of the profession or para-profession (Abbott 1988).⁵

Abbott argues that when certain tasks are abandoned by one set of organizations, they migrate to other actors under less favorable conditions. The anticipated "trickle-down" suggests potential fragmentation with uneven quality: "I had one regulator say to me last year, 'We don't want to happen to the accounting profession what's happened to the medical profession when PE comes in where all of a sudden their focus is on churning dollars and not quality'" (P8).

In all, our interviews suggest a system-wide effect where some firms' choices to accept PE investment can reshape the ecology of the entire public arena. Regulators, investors, and issuers may perceive stark differences between PE-backed firms with strong technology but narrow or nonexistent public audit portfolios and non-PE firms inheriting challenging audits with fewer resources, potentially viewing accountants in these two settings as belonging to different

⁵ Abbott notes that a settlement of client differentiation can exist within a profession or between professions. In our context, some client differentiation already exists within the profession (Figure 1, panel A). PE's entry in the profession changes the existing settlement (Figure 1, panel B) while also modifying it from a purely intra-professional one to a hybrid one where a force outside the profession shapes the client differentiation settlement.

professions. Abbott also suggests another possibility of a client differentiation settlement, where workplace changes in a single tier (PE-backed firms) can shape the entire profession's image in the public arena and erode public acknowledgment of the profession's authority. Settlements are not static; if the shift toward soft subordination or the changes in client differentiation increase variability in audit quality, the profession's collective legal and public jurisdictional claims may diminish over time.

4.4.3 Boundary Erosion through Changing Firm Culture

Abbott argues that professional boundaries are shaped not only by formal rules but also by shared norms and cultural understandings. Professions legitimize their expertise by linking jurisdictional claims to cultural values, and culture guides how diagnosis, inference, and treatment tasks are carried out in practice. Because cultural change is slow-moving, external actors can use it to erode jurisdiction without formally changing laws or standards. In our setting, culture is a mechanism that can shift APS settlement types: by normalizing commercial metrics, growth narratives, and new performance categories, cultural drift gradually shifts the profession from a divided settlement where audit retains meaningful autonomy toward soft subordination where commercial criteria govern the conditions under which audit work is done out.

Interviewees are skeptical about PE promises to preserve accounting firm culture:

Private equity firms, the first thing they say... is, "Well, we're not here to change your culture. In fact, we like your culture, and we want to grow your culture, perpetuate your culture"—but between me and you, I'm not sure what that really means, because even in a firm that doesn't do a deal like that, culture kind of changes and morphs over time... and sometimes in bad ways. (P17)

Respondents suggest that culture is where new logics can be introduced "quietly," by changing what is regularly measured, rewarded, and narrated as success. They further indicate that partners anticipate change but accept it due to their self-interest:

I think [accounting firm partners] are under the delusion or illusion that things will stay the

same, but they're not stupid, I think that they understand that change is going to happen... hope springs eternal, they hope against hope that... maybe things will change, but at the end of the day, I can get out and I'll get out when I can and it'll be good... [but] it's too good to be true, it probably isn't. (P1)

An interviewee bluntly assesses PE's expected behavior:

[PE] are going to tell you what you need to hear ... they're private equity guys... It's like the snake story. Why do you think the snake bit the guy who brought it in [when he] was frozen? He goes, "Well, I'm a snake."... They're not all bad people, but it is what it is. They're in it to make money. (P20)

Interviews also emphasize that cultural change has limits. First, they explain that PE depends on partners and staff to maintain client relationships, so it must layer growth culture onto existing professional culture rather than impose it: "To the extent the culture supports profit, they like the culture; to the extent it doesn't, they want to change the culture" (P10). This is consistent with Abbott's view of internal structures as filters through which external disturbances are selectively absorbed or resisted. Second, interviewees emphasize that PE's ownership stakes are typically at a slight majority, so partners still hold substantial equity and day-to-day influence. PE must therefore work indirectly, often via incentives rather than direct orders:

All of these transactions are slight majority transaction. So private equity is coming in as 51, 52, 53% ownership. The partners control the rest. Now, you control the board, but it's really hard to say to somebody, "I want you to do this, this and this." They're like, "Well, I get it. You might own two or three percentage more than us. We're the ones working with clients. We're the ones who own 48% of the firm. Yes, you can overrule us at the board level" but you can't really make these firms do anything you don't want them to do. (P16)

Third, some interviewees stress that because people are the main asset of accounting firms, PE has reason to avoid visible cultural shock.

The interviews overall suggest that, regardless of PE's stated intentions, accounting firms' culture will likely change in ways that bring commercial metrics and growth logic to the core of the practice. According to Abbott, cultural drift is a subtle mechanism through which professional boundaries erode. At the same time, ownership stakes, careful consideration of

culture fit, and reliance on professional norms may slow down or partially constrain this erosion.

5. DISCUSSION AND CONCLUSIONS

We examine how PE investment in accounting firms interacts with the accounting profession's jurisdiction, using Abbott's system of professions theory as a lens. Our analysis suggests that PE operates as a new organizational actor rearranging how the accounting profession's jurisdiction is exercised in the workplace, public, and legal arenas. PE responds to and amplifies existing vulnerabilities in the profession's enclosure, disrupting and reshaping professional boundaries.

Unlike much of prior research on PE investment in other industries, we examine how PE can reshape jurisdiction in an already deeply "financialized" domain. The literature on PE in other professions often portrays PE as importing financial logics into non-financial settings such as medicine or filmmaking. In contrast, public accounting is a field built on financial expertise where commercialism concerns exist alongside a professionalism logic. We find that PE investment not only increases the dominance of commercialism in the accounting profession but also alters the organization and reproduction of abstract knowledge, changes the profession's diagnosis and treatment models, and questions its jurisdictional claims in the workplace and public arenas. Adding to Donahoo et al.'s (2025) evidence of how partners inside PE-backed firms experience governance and cultural shifts, our evidence from transaction advisors shows how such changes are anticipated and structured at the deal negotiation and APS/ASA design stage, with explicit consequences for jurisdiction and the wider professional ecology.

In Abbott's framework, professions secure jurisdiction by controlling the chain from diagnosis to inference to treatment, and by anchoring this chain in abstract knowledge and institutionalized careers. In our setting, the APS does not immediately strip CPAs in accounting

firms of formal control over audit opinions. Rather, it reallocates control over capital, technology investments, client portfolio mix, leadership selection, and staffing models to a PE-backed platform. That platform embeds a different inferential logic into everyday decisions, such that growth trajectories, margin targets, and exit horizons become assumptions against which professional choices are evaluated. This subtler form of jurisdictional change is less visible than outright displacement, as the profession retains formal legal authority while losing leverage in organizational settings where it exercises its authority. Our findings contribute to Abbott's framework by examining how organizational investors, rather than rival professions, erode workplace jurisdiction.

Another contribution of our study concerns the dynamics of disturbance. Abbott distinguishes between external shocks (e.g., technology, regulation) and internal processes (e.g., stagnation, loss of abstraction). We analyze PE investment as a response to a hybrid disturbance in which external forces (technology and market shifts) interact with the profession's internal rigidity to increase its vulnerability. The mechanism used to address these problems, external capital deployed through APS structures, introduces new jurisdictional risks. PE investments are positioned as helping accounting firms modernize technology, streamline governance, and compete for talent. However, the centralized control of infrastructure, offshoring, technology standardization, and new compensation schemes are not only instruments of modernization but also pathways through which PE commercial logics can subordinate professional goals.

Our findings also have several implications beyond the concern that PE's main aim is higher returns. For regulators, our results suggest that existing independence frameworks, which focus on ownership percentages and specific non-audit services, may become too narrow for the emerging landscape. The APS architecture may preserve a compliant legal shell while

concentrating economic dependence and strategic discretion in a non-attest platform. Concurrent research by Mao et al. (2025) provides descriptive evidence on audit firm consolidation and shifting client portfolios. Our study highlights Abbott’s notion that changes in the workplace and public arenas may reshape legal settlements which suggests that regulators of public company audits should examine how profits and strategic decisions flow through the wider structure. Thus, our study suggests that regulators should consider system-level capacity, such as the question of who will serve mid-tier public clients if PE-backed firms shift away from that space. As shown in Figure 1, PE-backed firms are likely to concentrate on advisory and tax and shed more complex public clients, while a more challenging mix of complex and risky audit clients “trickle down” to non-PE independent firms with a thinner resource base.

For accounting firms, our study underscores that accepting PE capital is a decision about which jurisdictional settlement they are willing to inhabit. Our analysis suggests that there is room, at least in principle, for advisory or divided settlements in which audit retains meaningful practical autonomy, but that these are easily nudged toward soft subordination if audit is consistently framed as a low-margin necessity while advisory becomes the center of value creation. Firms have agency in how they negotiate governance rights, leadership selection, and cultural guardrails as jurisdictional determinants.

For PE investors, our findings raise a different kind of risk. If their commercial logics erode the profession’s claim to independence and competence in the eyes of regulators and capital markets, the legal and political foundations of the business model may be called into question. In Abbott’s terms, the system of professions can respond to perceived overreach with countermoves such as tightened regulation, restrictions on ownership structures, or new claims

by adjacent actors. The profession's sustainable returns depend on respecting the conditions under which it can maintain its public and legal jurisdiction.

Our study suggests several avenues for future research. First, researchers can examine the micro-level consequences of PE investment in accounting firms for professional identity. Research on accountants' identity formation and on the organizational context of professionalism suggests that structural shifts in governance, evaluation, and career scripts reshape how accountants understand their identity and purpose (Suddaby, Cooper, and Greenwood 2007; Suddaby, Gendron, and Lam 2009; Brouard et al. 2017). Building on partner-level narratives in Donahoo et al. (2025), PE-backed firms with their altered performance metrics, reward systems, and leadership changes provide a natural setting to examine whether emerging identities anchor more in advisory or technology work than in audit, and how this affects professional commitments.

Second, Abbott's framework can be extended by comparing different ownership and organizational forms within the profession. Archival or mixed-methods studies might contrast PE-backed platforms, traditional partnerships, and publicly listed accounting firms in terms of audit quality, client portfolios, investment in new assurance domains (e.g., AI or sustainability), and resilience to shocks. Such work could help clarify when hybrid arrangements remain as genuinely divided settlements and when they drift toward subordination.

Third, our analysis points to system-level questions about the configuration of the public company audit market. Longitudinal research could track how client migration, firm exits, and regulatory responses reshape the ecology of the audit profession, including whether new actors such as technology firms or specialist assurance boutiques may begin to claim parts of the audit or related assurance jurisdictions. Finally, our focus on transaction advisors – actors who sit at

the boundary between PE and accounting firms – could be complemented by perspectives from clients, who may perceive these structural changes differently.

In conclusion, our study shows that PE investment in accounting may both reinforce and unsettle the profession's position: PE's incursion comes with promises of resources, technology, and new career narratives, yet it also changes control over key aspects of work and risk, and may push the audit toward a residual, subordinated role inside commercial platforms. The resulting settlements are evolving. Whether the profession emerges with a robust, re-articulated claim to audit and assurance, or with a more fragile jurisdiction, will depend on how regulators, firms, and investors respond to these dynamics. Our study offers an early map of this shifting terrain and highlights that what is at stake are the boundaries, purpose, and future of the audit profession.

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FIGURE 1. Emerging Three-tier Ecology of Public Accounting as a Result of PE Investment

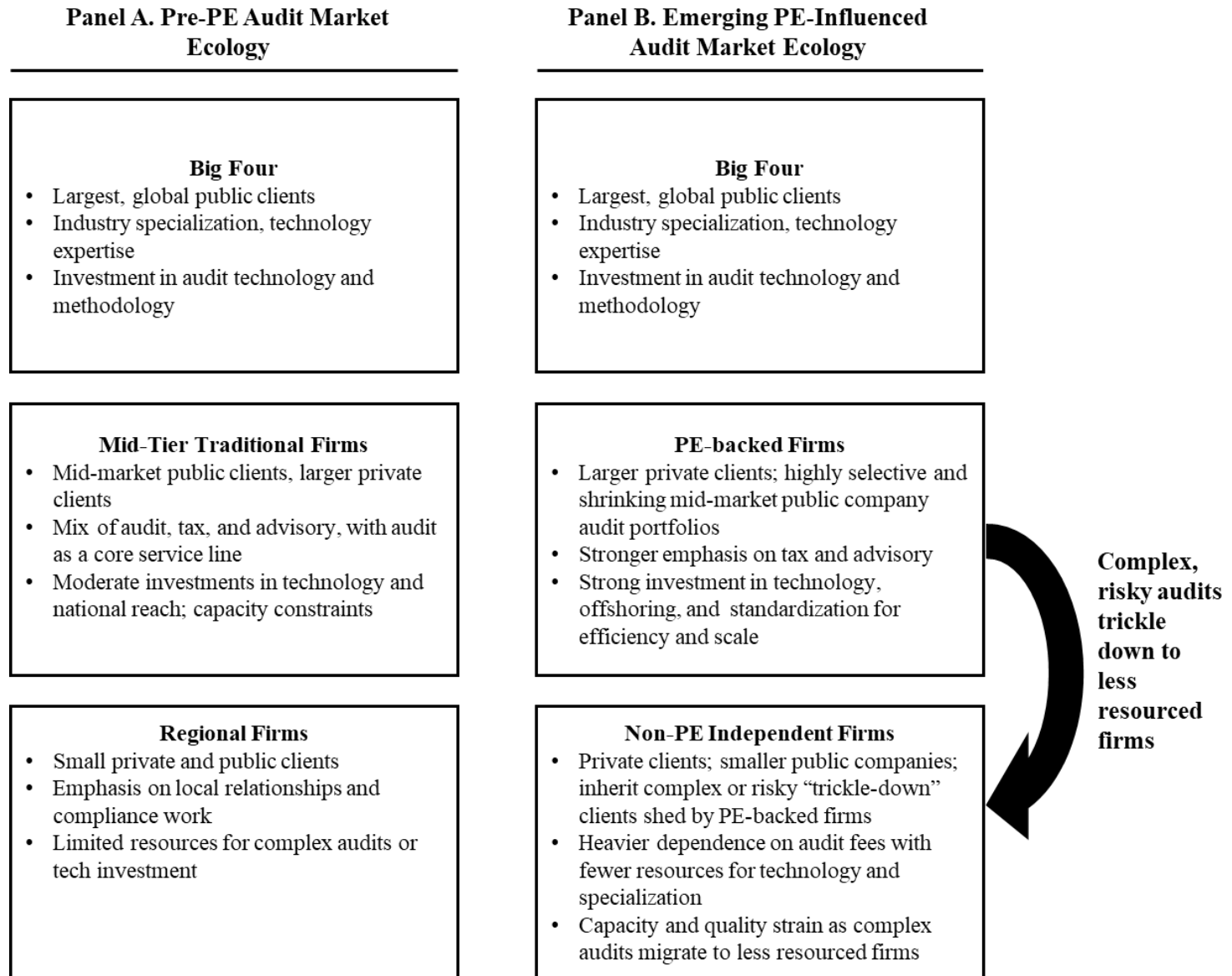


TABLE 1. Interview Participant Demographics

Identifier	Area of Expertise	Years of Professional experience ^a	Audio Recorded Length in Minutes
P1	M&A Attorney	40-45	67
P2	M&A Attorney	20-25	53
P3	Investment banking	5-10	39
P4	Investment banking	5-10	59
P5	M&A Consulting	45-50	81
P6	Investment banking	25-30	46
P7	M&A Consulting	10-15	47
P8	M&A Attorney	45-50	55
P9	M&A Attorney	10-15	56
P10	M&A Attorney	35-40	58
P11	Investment banking	30-35	30
P12	M&A Attorney	35-40	60
P13	M&A Consulting	25-30	51
P14	M&A Attorney	5-10	57
P15	M&A Attorney	10-15	58
P16	Investment banking	15-20	39
P17	M&A Attorney	25-30	41
P18	M&A Consulting	40-45	N/A ^b
P19	M&A Consulting	35-40	55
P20	M&A Consulting	30-35	64

^a Given the relatively small population of transaction advisors specializing in PE-accounting firm deals, we report experience ranges rather than exact values to protect participant anonymity.

^b This interviewee did not allow us to audio-record the interview; the interview length was 30 minutes.

TABLE 2: Jurisdictional Settlements in Public Accounting under PE Investment

Settlement type (adapted from Abbott 1988)	Legal arena: ownership and formal rights	Workplace arena: control over diagnosis, inference, and treatment tasks	Public arena: positioning of audit	PE role
Advisory settlement	Attest firm owned and governed by CPAs; PE holds no direct equity in attest entity and limited contractual rights.	CPAs control staffing, technology choices, client acceptance, performance metrics; PE influence is primarily via advice, benchmarking, or minority board participation.	Audit remains central to the firm's identity; the firm is publicly framed as an independent audit provider with limited or no visible PE involvement.	PE provides capital and strategic advice; acts as a sophisticated consultant rather than a structural controller of audit work.
Divided settlement	APS splits a CPA-owned attest entity from a PE-backed non-attest entity; CPAs retain formal legal authority to sign audit opinions and fulfill independence requirements.	Non-attest platform owns infrastructure and employs personnel, leasing them to the attest entity under an ASA; audit partners retain formal decision rights over audit scope, procedures, and conclusions, but rely on platform resources.	Public and regulatory audiences are reassured by visible structural separation; audit is portrayed as independent, while the platform brand emphasizes multi-service capabilities.	PE supplies capital, scale, and operational discipline through the non-attest platform, but is nominally constrained by firewalls and independence rules; economic returns flow largely through the platform.
Soft subordination settlement (adapted)	Formal ownership structure remains as in the divided settlement: CPAs own the attest entity; independence rules are technically satisfied.	PE-determined client portfolio strategies, commercial targets, platform-level KPIs, and offshoring decisions increasingly shape audit staffing, resourcing, and risk profile; audit becomes a residual, low-margin obligation in the platform.	Audit is retained mainly for legitimacy and branding; public narratives and growth plans center on tax and advisory, while firms strategically shrink or exit public company audits.	PE uses ownership of the non-attest platform to concentrate economic control and strategic discretion, effectively subordinating audit practice to profitability and exit-horizon considerations while formally leaving legal jurisdiction with CPAs.

Note: Settlement labels draw on Abbott's (1988) taxonomy. *Soft subordination* is our adaptation of Abbott's subordination settlement to PE-backed APS structures, where legal jurisdiction formally remains with CPAs, but workplace and public arenas are increasingly governed by PE-driven commercial logics.